

2nd Management Model Exit Exam

Which one of the following human resource management function is the systematic process of matching the internal and external supply of people with job openings anticipated in the organization over a specified period of time?

- A.HR planning
- B.Recruitment
- C.Job analysis
- D.Performance appraisal

ANSWER: A

Mr. Daniel, an HR specialist at a publishing company, is in the process of choosing from a group of applicants the individual best suited for an assistant editor position. In which HRM function Mr.Daniel has involved in?

- A.Recruitment
- B.HR planning
- C.Job analysis
- D.Selection

ANSWER: D

Suppose that Dr. Semira enjoys working at STAR BANK because of her interactions with customers and co-workers. Therefore, what is the cause of Dr. Semira's satisfaction?

- A.Emotional health
- B.Nonfinancial compensation
- C.Performance satisfaction
- D.Financial reward

ANSWER: B

What is the systematic process of determining the skills, duties, and knowledge required for performing jobs in an organization?

- A.Strategic planning
- B.Job enlargement
- C.Recruitment

D.Job analysis

ANSWER: D

Suppose a worker has few absences, his supervisor might give him a high rating in all other areas of work. Thus, what kind of Performance appraisal error is occurred?

A.Leniency error

B.Recency of event

C.Halo effect

D.Contrast effect

ANSWER: C

Assume that Mr. Geremew is customer service officer in a company. He took off the job training under which a realistic set up that are highly similar to the ones used on the job or actual work site. So, what method of training he has taken?

A.Job instruction method

B.Vestibule method

C.Role playing method

D.Case study method

ANSWER: B

Which one of the human resource management practices is focused on a process in which the employees are helped by the organization in a continuous and planned manner to acquire and develop capabilities for their own and organizational development purpose?

A.Human resource development

B.Organizational development

C.Career development

D.Employee management

ANSWER: A

Which of the following statements involve descriptive statistics as opposed to inferential statistics?

A.Based on a survey of 400 magazine readers, the magazine reports that 45% of its readers prefer double column articles.

B.Based on a sample of 300 professional tennis players, a tennis magazine reported that 25% of the parents of all professional tennis players did not play

C.65 % of employees in Zemen Fashion Garment Factory are TVET graduates.

D.The demand of smart phone in Ethiopia is expected to increase by 12% in the coming three years.

ANSWER: C

In the two units of the employees in unit one are 650 and monthly salary is 2750 birr, the employees in unit two are 700 and monthly salary is 2500 birr then what is the average monthly salary that the company pay?

A.2620 birr

B.2650 birr

C.880 birr

D.686 birr

ANSWER: A

Assume Bright Real Estate PLC. Sells on average 2 houses per week and sales of houses on each are Poisson distributed, what is the probability of selling exactly three houses in any week?

A.0.82

B.0.56

C.0.11

D.0.18

ANSWER: D

A quality control manager discovers that 80% of the productions are none defective. Assume randomly selected sample of 10 products, what will be the probability that exactly at least nine products are none defective?

A.0.268

B.0.376

C.0.225

D.0.781

ANSWER: B

A production company's pays on average birr 330 for daily workers with a standard deviation of 50 birr. If a random sample of 36 daily workers is taken, what is the probability that the sample will have an average wage of More than birr 350? Assume the probability of the calculated Z value is 0.2418

A.0.2418

B.0.2582

C.0.7582

D.2.40

ANSWER: B

The production manager of Galaxy Electronics Company claims that its TV sets have a mean life of 80 years. A random sample of 25 TV sets was tested and it is found that the sample mean is 76 years. Assume that the population standard deviation is 15 years and the lives of TV sets are approximately normally distributed. What would be your decision of the company's claim using a 5% level of significance if z value is 1.96?

A. Accept H_0 because -1.96 is greater than -2.33

B. Accept H_0 because -1.96 is less than -1.33

C. Reject H_0 because 1.96 is less than 2.33

D. Reject H_0 because 1.96 is greater than 1.33

ANSWER: B

Many companies use well-known celebrities as spokespersons in their TV advertisements. A study was conducted to determine whether brand awareness of female TV viewers and the gender of the spokesperson are independent. Which type of chi square distribution test is applicable?

A. Test for independence between two variables

B. Test for the equality of several proportions

C. Test for equality of several means

D. Goodness of fit tests

ANSWER: A

In a regression analysis if Sum of Squares Error (SSE) is 200 and Sum of Squares Regression (SSR) is 300, then what is the coefficient of determination?

A. 0.6667

B. 0.6000

C. 0.4000

D. 1.5000

ANSWER: B

Which one of the following model is most suitable for the operations research approach to solve a business problem?

A. Physical model

B. Heuristic model

C.Descriptive model

D.Mathematical model

ANSWER: D

ABC manufacturing company uses two Machines in the manufacture of two products. Each unit of product A requires 6 hours on machine X and 1 hour on machine Y. Each unit of product B requires 4 hours on machine X and 2 hours on machine. The profit of the two products are birr 500 and birr 400 per unit respectively. The machine hours available on the two machines are 24 and 8 respectively. What is the maximum profit?

A.1500 birr

B.1600 birr

C.2000 birr

D.2200 birr

ANSWER: D

_____ determines the penalty for not using the minimum cost routes, where the objective is to avoid large penalties so that the penalty from not using the routes is minimized.

A.Least cost method

B.MODI method

C.Vogel's approximation method

D.North West corner method

ANSWER: C

Which one of initial solution method of transportation problem is depending on determination of the penalty cost rather than using the minimum cost routes?

A.Decision criteria

B.Pay-off matrix

C.Alternatives

D.State of nature

ANSWER: C

Which of the following is not a function of a research proposal of a study?

A.Why proposed strategies of investigation are selected

B.What answers have been found to what is proposed

C.What is proposed to be done in a study

D.How answers will be found to what is proposed

ANSWER: C

Which type of study is most suitable when there is little to no insight in a certain problem or when there is no information available on how similar problems or research issues have been solved in the past?

A.Exploratory study

B.Descriptive study

C.Causal study

D.Basic study

ANSWER: A

From the following one is not a reason why Descriptive research is conducted?

A.To describe the characteristics of relevant groups

B.To determine the perceptions of product characteristics

C.To make specific predictions

D.To determine the nature of the relationship between the causal variables and the effect to be predicted

ANSWER: D

Which one of the following is not a component of a research design?

A.Define the Objective

B.Design the exploratory, descriptive, and/or causal phases of the research

C.Specify the measurement and scaling procedures

D.Specify the sampling process and sample size

ANSWER: A

A researcher wants to get some insights into how employees of Debreberhan University feel about the shop's merchandise, prices and service in. To do so, A researcher used a procedure to select sample employees from the organization in such a way that each member of the population is chosen strictly by chance and is equally likely to be chosen. What type of sampling technique is employed?

A.Systematic random sampling

B.Stratified sampling

C.Judgmental sampling

D.Simple random sampling

ANSWER: D

If the researcher wants to analyze the relationship between interest rates and bank deposit patterns of clients, what is the unit of analysis under the investigation?

A.The banks

B.The clients

C.Interest rate

D.Deposit patterns

ANSWER: B

Which of the following is not a function of a research proposal of a study?

A.Why proposed strategies of investigation are selected

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D.How answers will be found to what is proposed

ANSWER: B

Which one of the following is the set of procedures used to explain or predict the values of a dependent variable based on the values of one or more independent variables?

A.Descriptive analysis

B.Qualitative approach

C.Regression analysis

D.Research proposal

ANSWER: C

Which of the following statements correctly defines operations management?

A.The process of designing and marketing products

B.The process of managing sales and customer service operations

C.The process of managing the production and delivery of goods and services

D.The process of managing financial resources and investments.

ANSWER: C

Which of the following is an example of an operation management activity?

- A.Preparing financial statements
- B.Scheduling employee vacations
- C.Comparing prices for office supplies
- D.Improving manufacturing processes

ANSWER: D

Which of the following is not a part of the scope of operations management?

- A.Product design and development
- B.Supply chain management
- C.Financial management
- D.Quality management

ANSWER: C

Which of the following is an example of a competitive priority that can influence an organization's operations strategy?

- A.Employee morale
- B.Local taxes
- C.Product quality
- D.Company culture

ANSWER: C

Which of the following is an example of a product design decision?

- A.Selecting the most efficient manufacturing process for a new product
- B.Deciding which raw materials to use in a new product
- C.Determining how many customer service representatives are needed to support a new product
- D.Selecting the location of the production facility for a new product

ANSWER: A

Which of the following is NOT a primary decision involved in controlling operations systems?

- A.Inventory control decisions
- B.Quality control decisions
- C.Sales forecasting decisions
- D.Scheduling decisions

ANSWER: C

When selecting a facility location for manufacturing firm, which of the following factors should be considered?

- A.Availability of labor and raw materials
- B.Nearness to top management's home
- C.Proximity to competitors' facilities
- D.Access to luxury amenities for employees

ANSWER: A

Which of the following is a disadvantage of a product layout?

- A.High flexibility
- B.High utilization of labor and equipment
- C.Easy to manage and supervise
- D.High cost of design and setup

ANSWER: D

What is the role of aggregate planning in operations management?

- A.To forecast demand and plan production accordingly
- B.To optimize employee schedules
- C.To track inventory levels
- D.To monitor competitor pricing strategies.

ANSWER: A

What is financial management?

- A.The process of managing personal finances
- B.The process of managing business finances
- C.The process of managing government finances
- D.The process of managing charitable organization finances

ANSWER: ANSWER: B

A company has \$50,000 in current assets and \$30,000 in current liabilities. What is the company's current ratio?

A.0.6:1

B.1.2:1

C.1.5:1

D.2:1

ANSWER: C

What is the present value of \$500 received in 5 years at a 10% interest rate?

A.\$250

B.\$310

C.\$385

D.\$500

ANSWER: B

Which financial statement is most commonly used to evaluate a company's investment decisions?

A.Balance sheet

B.Income statement

C.Statement of cash flows

D.Statement of retained earnings

ANSWER: C

A company has a cost of equity of 12%, debt of \$5 million at an interest rate of 8%, and a tax rate of 25%. What is the WACC for this company?

A.9.5%

B.10.0%

C.10.5%

D.11.0%

ANSWER: B

Which of the following methods of capital budgeting ignores the time value of money?

A.Payback period

B.Net present value

C.Internal rate of return

D.Profitability index

ANSWER: A

What is a Gantt chart used for during project planning?

- A.To assign tasks and responsibilities to team members
- B.To show a summary of the project's goals and objectives
- C.To track the project's progress and timeline
- D.To evaluate the project's success once it is complete

ANSWER: C

Which of the following is an example of an internal source of a business project idea?

- A.Competitor analysis
- B.Brainstorming within the organization
- C.Customer feedback
- D.Demographic trends

ANSWER: B

A project requires an initial investment of \$100,000 and returns cash inflows of \$30,000 per year for 7 years. If the required rate of return is 10%, what is the net present value (NPV) of the project?

- A.\$3,485
- B.\$10,000
- C.\$10,926
- D.\$20,000

ANSWER: C

What is the purpose of project controlling techniques in a business organization?

- A.To monitor progress and ensure objectives are met
- B.To eliminate the need for project review meetings
- C.To increase project expenses
- D.To decrease stakeholder involvement

ANSWER: A

Which of the following is NOT a typical source of project financing?

- A.Equity financing

- B. Debt financing
- C. Government grants
- D. Bartering

ANSWER: D

What is the definition of "organizational culture"?

- A. The shared values, beliefs, and practices that shape the behavior of individuals within an organization
- B. A set of policies and guidelines that govern the behavior of employees
- C. The rules and regulations that employees must follow
- D. The physical environment in which employees work.

ANSWER: A

What is the primary task during the storming stage of group formation?

- A. Establishing group norms
- B. Conflict resolution
- C. Defining individual roles
- D. Developing trust among members

ANSWER: B

Which of the following theories suggests that intrinsic motivation can be enhanced by providing opportunities for autonomy, competence, and relatedness?

- A. Self-determination theory
- B. Goal-setting theory
- C. Equity theory
- D. Expectancy theory

ANSWER: A

How much emphasis do you place on diversity when making hiring decisions?

- A. A moderate amount, as diversity brings new perspectives and experiences to the organization.
- B. A small amount, as diversity is not a priority in hiring.
- C. A large amount, as diversity quotas need to be met.
- D. No amount, as hiring should be based solely on qualifications and experience.

ANSWER: A

How can organizations mitigate the negative effects of organizational politics and power on employee behavior?

- A.By establishing clear policies and procedures for decision-making and conflict resolution
- B.By encouraging a competitive work environment among employees
- C.By allowing employees to have complete autonomy in decision-making processes
- D.By increasing the power differential between managers and subordinates.

ANSWER: A

What is the primary objective of effective communication in the workplace?

- A.To increase company profits
- B.To get your point across
- C.To maintain healthy work relationships
- D.To avoid misunderstandings

ANSWER: C

Which of the following best describes the difference between leadership and management?

- A.Leadership is about setting direction and inspiring others, while management is about planning and organizing resources to achieve goals.
- B.Leadership is about telling people what to do, while management is about coordinating resources to get things done.
- C.Leadership is about exercising power and authority, while management is about building relationships with stakeholders.
- D.There is no difference between leadership and management.

ANSWER: A

Which of the following skills is NOT necessary for effective communication with peers, subordinates, and senior managers?

- A.Active listening
- B.Empathy
- C.Assertiveness
- D.Avoidance

ANSWER: D

What is the advantage of an organization that has successfully changed to accommodate the changing world?

- A.Increased bureaucracy
- B.Decreased profits
- C.Higher employee turnover
- D.Increased competitiveness

ANSWER: D

Which of the following is an effective way to manage conflict during organizational change?

- A.Blame employees for causing the conflict
- B.Avoid conflict at all costs
- C.Focus on outcomes rather than on personal differences
- D.Demand that employees conform to your way of thinking

ANSWER: C

What are some elements of the entrepreneurial mindset?

- A.Risk-taking, creativity, and persistence
- B.Compliance, conformity, and caution
- C.Hesitation, doubt, and fear
- D.Conformity, imitation, and reluctance

ANSWER: A

In preparing a business model/plan, what is the most important aspect to consider?

- A.Making the plan visually appealing and easy to read
- B.Including lots of technical jargon to impress investors
- C.Focusing on the financial projections and bottom line
- D.Pinpointing the customer's needs and creating value for them

ANSWER: D

What is a common management issue faced by entrepreneurs in the startup phase?

- A.Identifying opportunities for growth
- B.Maintaining a consistent cash flow

C.Developing strategic alliances

D.Managing a large workforce

ANSWER: B

What would be the most efficient and effective approach to create a new product in your area of interest?

A.Brainstorming ideas with friends and colleagues

B.Researching what the competition is doing

C.Conducting market research to identify customers' needs and preferences

D.Experimenting with different product designs until you find one that works

ANSWER: C

What is the most important goal to consider when developing a unique value proposition for a new venture?

A.Offering an affordable alternative to competitors

B.Focusing on product quality and reliability

C.Meeting or surpassing customer needs and preferences

D.Raising awareness through aggressive advertising and promotions

ANSWER: C

When faced with an ethical dilemma, what is your primary decision-making factor?

A.Personal gain

B.Company profits

C.Impact on stakeholders

D.Ease of decision-making

ANSWER: C

What is the role of strategic planning in an organization?

A.To prepare budgets for the next year

B.To forecast sales revenue for the upcoming quarter

C.To align organizational goals with mission and vision statements

D.To manage day-to-day business operations

ANSWER: C

What is the purpose of a mission statement in a business plan?

- A.To outline your company's goals and aspirations
- B.To provide a detailed financial analysis
- C.To explain how to complete a simple task
- D.To showcase your company's product offerings

ANSWER: A

Which factor doesn't describe management as science

- A.Systematized body of knowledge
- B.Universal validity
- C.Ethical code of conduct
- D.Principles based on experimentation

ANSWER: C

Which of the following characterize a manager as being effective?

- A.They use a minimum amount of resources for the amount of outputs produced.
- B.They devote a large amount of time to planning.
- C.They achieve their goals.
- D.They interview, select, and train people who are most suitable to fill open jobs.

ANSWER: C

Among the following one is not true about Management. Which one is it?

- A.Management is the process of getting things done through the efforts of people and other resources
- B.Emphasis on achieving goals/objectives with efficient and effective use of organizational resources
- C.Emphasis on the function of management
- D.Management is a rigid process

ANSWER: D

At which basic managerial function does communication, motivation & leadership found?

- A.Leading
- B.Planning
- C.Organizing

D.Controlling

ANSWER: A

Mr. Ayele is a Chief executive officer (CEO) of an organization. He is at which level of management?

A.Lower level

B.Middle level

C.Top level

D.Team leader

ANSWER: C

Which of the following is incorrect in management?

A.Objectives are more broad than goals

B.Objectives are more specific targets of the organization

C.There is clear difference between Goals & objectives

D.Organizations may have long term objectives

ANSWER: A

Pervasiveness of planning indicates that planning is

A.A top management function

B.Extended throughout the organization

C.A future-oriented activity

D.The first element of management process

ANSWER: B

Large number of subordinates report to a manager is .

A.Close span of management

B.Small span of management

C.Wide span of management

D.Narrow span of management

ANSWER: C

Assume ABC. Co. produces its product beer and they open their own out let grocery to sell their products there by controlling distribution channels. This strategy is;

- A.Conglomerate
- B.Forward integration
- C.Backward integration
- D.Horizontal integration

ANSWER: B

Two or more firms establish other new enterprise to operate their new business. What strategy does it shows?

- A.Joint Venture
- B.Merger
- C.Synergetic
- D.Horizontal diversification

ANSWER: A

Assume previously in DebreBirhan towns there was a gas station by the name Shell gas station but now it is purchased by total gas station Company and changed the name to total gas station. Which business strategy does best describes?

- A.Synchronization
- B.Merger
- C.Acquisition
- D.Joint venture

ANSWER: C

Among the following one is not belongs to the five competitive forces model.

- A.Entry barriers
- B.Competitive rivalry
- C.Substitute products
- D.Complementing products

ANSWER: D

Assume ABC co. scored the IFE and EFE Matrix result as 2.4 and 3.6 respectively. Based on these data by using IE Matrix which types of strategy is more appropriate for the company?

- A.Build and Grow
- B.Hold and Maintain

C.Harvest and Divest

D.Harvest and Invest

ANSWER: A

Habesha brewery S.C. inaugurated its additional new malt manufacturing factory in Debre Birhan town to satisfy its malt and deliver for the market. This indicates

A.Backward integration

B.Horizontal integration

C.Vertical integration

D.Conglomerate diversification

ANSWER: A

Which one is right process strategy formulation?

A.Matching stage, input stage decision stage

B.decision stage, input stage, Matching stage

C.input stage, Matching stage, decision stage

D.input stage, decision stage, Matching stage

ANSWER: C

Individuals have to take the following actions so as to prevent their computer from virus except

A.Disable preview screens when using email

B.Scan storage media before using them

C.Download files from a site or person that you do trust

D.Backup important files often

ANSWER: C

Which of the following is the internal source of knowledge?

A.Universities,

B.Customer contact

C.Research institutions

D.Industry associations

ANSWER: B

IT has been extensively used for processing customer orders, controlling inventory levels, developing

production schedules and for monitoring product quality. Which is described in:

- A.Sales and Marketing
- B.Project Management
- C.Manufacturing
- D.HRM

ANSWER: C

Which one of the following is the most accurate?

- A.The degree to which information needs to be detail increases as one moves up through the management levels
- B.Low-level managers made unstructured decisions
- C.Low-level managers need general information about operating activities
- D.Top level managers made unstructured decisions

ANSWER: D

Which information system feature indicates a sound system of automated and manual internal controls must exist throughout all information systems processing activities?

- A.Completeness
- B.Accuracy
- C.Consistency
- D.Timeliness

ANSWER: C

Which one of the following is the first stage of new product development?

- A.Idea screening
- B.Idea generation
- C.Test marketing
- D.Concept testing

ANSWER: B

___are products bought by individuals and organizations for further processing or for use in conducting a business.

- A.Consumer products

- B.Specialty products
- C.Industrial products
- D.Personal Products

ANSWER: C

What is the term used in Ansoff's matrix for increasing market share with selling existing products in existing markets?

- A.Product development
- B.Market penetration
- C.Diversification
- D.Market development

ANSWER: B

Marketing is best defined as

- A.Matching a product with its market.
- B.Promoting and selling products.
- C.Facilitating satisfying exchange relationships.
- D.Distributing products at the right price to store

ANSWER: A

A firm has decided to localize its products and services to meet local market demands. What base of segmentation is it?

- A.Behavioral
- B.Demographic
- C.Psychographics
- D.Geographic

ANSWER: D

Which of the following marketing mix activity is most closely associated with newsletters, catalogues and invitations to organization-sponsored events?

- A.Pricing
- B.Promotion
- C.Distribution

D.Product

ANSWER: B

Assume Metehara sugar producing company start producing new products in new industry that is producing bio gas in addition to producing sugar. This strategy shows us;

A.Merger

B.Sub-Contracting

C.Conglomerate

D.Concentric

ANSWER: C

Among the following one is not the characteristics of Domestic market

A.One language, one nation, one culture

B.Market is much more homogeneous

C.Single currency

D.Markets are diverse and fragmented

ANSWER: D

_____ Is a limit on the amount of a particular product that can be brought into a country.

A.Import quota

B.Tariff

C.VAT

D.Withholding

ANSWER: A

_____ is a process of a government taking ownership of a property without compensation?

A.Nationalization

B.Confiscation

C.Expropriation

D.Domestication

ANSWER: B

A symbol, work or thing used to identify a product made or marketed by a particular firm is called

- A.Copy right
- B.Patent
- C.Trade secret
- D.Trademark

ANSWER: D

_____ is a strategy in which a company, without any marketing or production organization overseas, exports a product from its home base

- A.Exporting
- B.Licensing
- C.Franchising
- D.Joint Venture

ANSWER: A

A broad group of products, intended for essentially similar uses and having similar physical characteristics, It indicates;

- A.Marketing mix
- B.Product mix
- C.Product line
- D.Product range

ANSWER: C

If the buyer is highly involved in a purchase, because the purchase is expensive and infrequent but sees little difference in brands he/she will probably exhibit.

- A.Habitual buying behavior
- B.Variety seeking behavior
- C.Dissonance reducing behavior
- D.Complex buying behavior

ANSWER: C

ABC Manufacturing Company on the preparation to produce a new product type decided to purchase a new technology which was not experienced previously by the company. Which types of buying situation is going to undertake by the company?

- A.Straight Re-buy

B.Modified Re-buy

C.New task buying

D.Blanket purchase order

ANSWER: C